

Outlook

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Who needs an explanation before the next rate change? - 2023 control review

Hi team,

Loan Products needs to identify borrowers most exposed to repricing and the questions customers are likely to raise.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2023 as the new evidence point rather than recycling the earlier conclusion. The timing also overlaps with SARB raises repo rate to 7.25%; prime at 11.75%. Treat that as context to test, not an answer. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Can you test these explanations rather than choosing one at the start?

- variable-rate customers show higher payment pressure
- thin affordability buffers matter more than loan size
- clear communication reduces avoidable complaints

The decision is which customers need proactive communication and which product assumptions need review. Please give us a short decision pack with no more than five slides and an attached evidence table.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context. Use recorded loan rates and behaviour; do not infer contractual repricing terms not present in the data.

Thanks